

Attention

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Title

Industrial Policy Strategy Proposal

Purpose

Outline options for a new industrial policy strategy. The strategy seeks to buffer global trade shocks through domestic manufacturing innovation.

Executive Summary

While Ireland's established position as an open, trade-oriented economy must be respected and strengthened where possible, an increased emphasis on domestic industry is urgently required in response to a global shift towards protectionist policy.

This brief begins by assessing Ireland's status as an innovator, identifying areas of weakness that may inform future industrial policy. Non-traditional innovation financing, public sector support, and education are identified as focus areas.

Applying these findings through a sectoral analysis establishes indigenous Pharmaceutical, Food, and Utilities industries as strategically important.

Historical case studies are reviewed to illustrate the government's role in supporting these industries. Decisive political commitment and long-term vision are key takeaways from this section.

Finally, policy measures are assessed to inform the following recommendations. The updated strategy is framed as a vote of confidence in Ireland's innovative workforce.

Policy Recommendations

1. Increase venture capital funding through Ireland's Strategic Investment Fund.
2. Replicate the University of Limerick's 'Immersive Software Engineering' degree, targeting Pharmaceutical, Food and ICT industries.
3. Increase public sector utilities Research and Development (R&D) funding.
4. Increase Non-R&D grant funding, incentivising small manufacturing firms to adopt technologies proven to increase productivity.
5. Introduce entrepreneurial training into the second-level school curriculum.

Problem Context

Ireland has positioned itself successfully as an open economy, attracting Foreign Direct Investment (FDI) to sustain our growth. Our existing industrial strategy reflects this, placing emphasis on competitiveness and our status as a skilled manufacturing employer (Department of Enterprise & Employment, 2025). The global shift towards protectionism undermines the longevity of this strategy and calls for an increased focus on domestic industrial strength to bolster growth.

The Industrial Development Agency (IDA) is responsible for attracting and retaining FDI and has been the keystone of Industrial Policy since opening our economy with the Export Profits Tax Relief in 1956. The IDA has helped establish Ireland as a global advanced manufacturing hub for pharmaceutical and Information and communication technology (ICT) products. However, the current international geopolitical landscape threatens the longevity of this strategy. Trade tariffs imposed by the United States, our largest trading partner, have precipitated a global shift towards protectionist policies.

While our position as an open, trade-oriented economy must be respected and strengthened where possible, an increased emphasis on domestic industry is urgently required. Foreign-owned businesses accounted for 87% of total industry sales in 2024, highlighting our vulnerability to trade shocks (Department of Enterprise & Employment, 2026). The role of Enterprise Ireland, responsible for supporting indigenous business, is more important than ever. Their most recent strategy sets an ambitious annual target of 3% average productivity growth for supported companies from 2025 to 2029, with plans to support 1000 new start-ups over the period (Enterprise Ireland, 2025).

The central role innovation will play in delivering Enterprise Ireland's target productivity growth cannot be overstated. The theory of economic growth introduced by Joseph Schumpeter, termed Schumpeterian Growth, identifies continuous innovation as the key driver of growth beyond what can be expected through specialisation and market expansion (Aghion & Howitt, 1992). Ireland's focus on FDI has traditionally been our means of growth, and a policy shift towards the Schumpeterian model will deliver domestic resilience.

This brief reviews our industrial policy through the lens of innovation, establishing options to create the conditions necessary to foster innovation. The following section analyses our existing innovation supports, identify areas of weakness to inform an updated industrial strategy.

Ireland's Innovation Profile

The European Commission ranked Ireland as the fifth most innovative European Union member state (European Commission, 2025). Our rank is underpinned by a highly educated workforce, and a track-record of technology investment. Although boosted by labour productivity indicators that are perhaps unduly inflated by technology service exports, the assessment reflects a robustly innovative country. The sub-indicators used to determine our overall ranking vary in strength, and four areas of weakness jump out:

- There has been a significant drop in Venture Capital deployment between 2018 and 2025.
- Non-R&D innovation expenditures were 33% of the EU average in 2025, falling by 46% since 2018.
- Public Sector R&D expenditure is notably low, ranking 26th among EU member states.
- The report also notes an absence of entrepreneurial training in schools.

Access to venture capital is an important growth accelerator for early-stage businesses, particularly capital expenditure intensive manufacturing. Non-R&D innovation expenditure supports investment in technologies proven to increase productivity, particularly relevant in the age of Industry 4.0. The term Industry 4.0 has been adopted to describe manufacturing productivity advances through innovative technologies including Internet of Things (IoT), analytics, AI and cloud computing. London School of Economics researchers found that adoption of these technologies is linked to a 7% increase in labour productivity (Bettiol et al., 2024).

Public Sector innovation is often overlooked in Ireland. The government's Accelerating Infrastructure Report and Action Plan outlines an unprecedented programme of public capital investment, planning expenditure of €110 billion by 2030 (Department of Public Expenditure & Digitalisation, 2025). Public Sector Utilities must scale delivery extremely fast and explore new ways of working to achieve this level of investment, creating a clear need for innovation. For example, Integration of renewable energy to achieve our electricity decarbonisation targets will require entirely novel methods of grid management, driving an urgent need for innovation.

The final point notes an absence of entrepreneurial training in Irish schools. The finding is unsurprising given our focus on delivering highly educated employees, rather than founders. While maintaining our strengths is important, the curriculum's strong focus on science, technology, engineering, and mathematics (STEM) could be complemented with an added focus on equipping students with the practical skills needed to start and scale a business.

The data suggests that Ireland typically supports innovation through traditional channels and could benefit from a broader set of initiatives. Identifying where these findings can inform industrial policy is examined next, through a sectoral analysis of Irish Industry.

Sectoral Analysis

Pharmaceutical and Chemical products accounted for 54% of total industry Net Selling Value in 2023. Figure 1 provides a full breakdown, identifying Food, Electronics, and Traditional Manufacturing as sectors of further strategic importance.

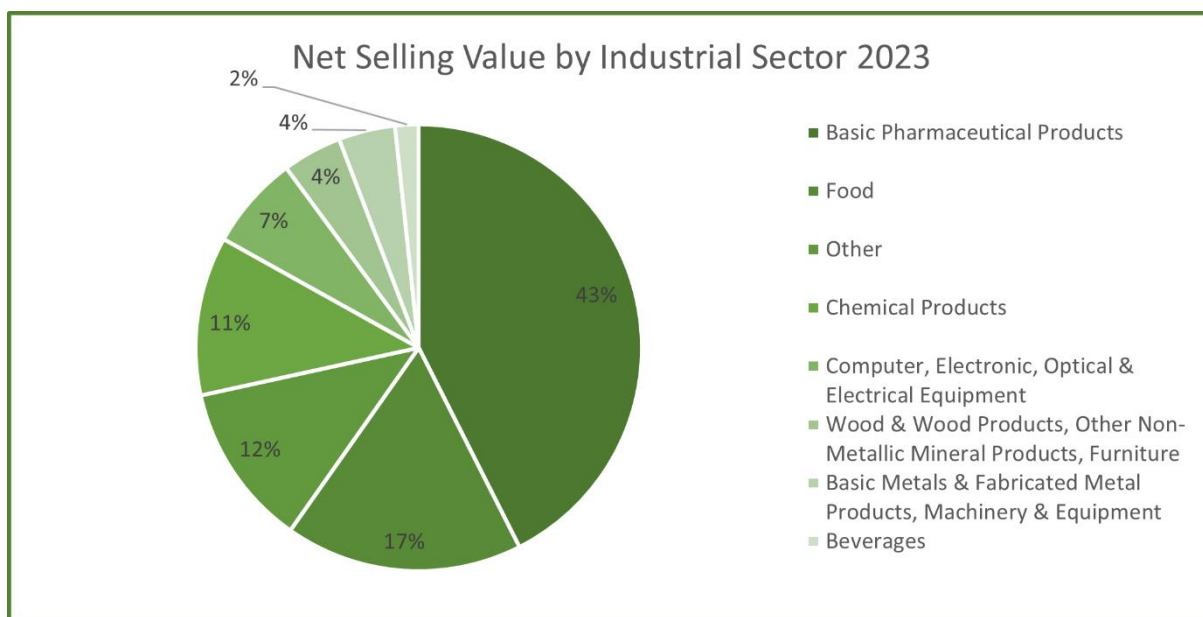


Figure 1 Data Source: [Central Statistics Office](#)

The context here is incomplete, given the high concentration of value add from large enterprises. In 2023, 10 enterprises accounted for 46% of all production (Central Statistics Office, 2024). By contrast, there are more than 20,000 active domestic industrial enterprises employing approximately 150,000 people (Central Statistics Office, 2022).

Dairy has traditionally been our strongest indigenous industry, with globally recognised brands including Kerry Gold, Glanbia, and Tirlán. The Irish dairy industry had historically focused on high volume, low margin goods including butter and cheese. The strategy has evolved over time to capture higher value product markets such as Infant Formula. This success has built on strong agricultural R&D support through Teagasc and universities, alongside partnerships with multinationals. The shift in focus towards higher value products provides a blue print that can inform the strategy of other sectors.

Innovation Hubs have been identified as part of Enterprise Ireland's strategy, and the geographic distribution of industry helps clarify the regional focus on industrial policy. Pharmaceutical manufacturing is distributed throughout the country, developing close to universities and technical campuses. Similarly, food manufacturers are widely dispersed, typically along transport corridors. Clustering development into regional centres of excellence may boost collaboration between large players and innovative start-ups, particularly in the age of Industry 4.0¹. This strategy aligns with our focus on FDI, as smaller domestic firms build value-adding ancillary industries to support and entrench multinational firms.

The strain manufacturing places on utilities warrants consideration. Public sector utilities must work closely with Enterprise Ireland to strategically develop regional hubs with access to high quality transport, energy, and water services. Collaboration will unlock synergies between public and private industry and must be a central pillar of industrial strategy.

Two case studies are explored next, linking the role of decisive policy support to industry, with particular attention given to public sector innovation.

¹ Knowledge diffusion has been linked to periods of super-normal growth, or efflorescences, such as Japan's Meiji Restoration period (Tanimoto, 2021)

Case Studies

Telecommunications - The Global Crossing Deal

Telecoms infrastructure has historically influenced business location (Goddard & Pye, 1977). Ireland relied on UK routing for global traffic as demand for this infrastructure boomed in the late 1990s, threatening our ability to capture future investment and retain multinationals such as Microsoft.

The government acted by entering a Public Private Partnership (PPP) with Global Crossing in 1999 to deliver two high-capacity telecoms cables, connecting Ireland with Europe and the United States (Comptroller & Auditor, 2000; Wired, 1999). Going live in 2000, the government sold this new network capacity to Irish operators at a discount, removing a binding constraint on ICT investment. Interestingly, the Dot-com crash of 2000 meant a significant volume of capacity went unsold and Global Crossing itself filed for bankruptcy, inflating the cost of the project and making it controversial in the short-term (Irish Times, 2003; Oireachtas, 2005). However, retaining ownership of the infrastructure through the PPP agreement has meant that the long-term impact on Ireland's economy has been hugely positive. The country is now a global ICT hub, boasting 9 of the top 10 global software companies, and it is unlikely that this level of success would have been possible without the Global Crossing Deal (Department of Enterprise & Employment, 2020). The deal is a case study of ambitious public sector industrial policy in Ireland, underlining the importance of early-mover advantage and public sector innovation.

Offshore Wind - A Missed Opportunity

Ireland was an early mover on Offshore Wind energy, constructing our first pilot project in 2005. Offshore Wind had the potential to rapidly increase the share of renewable generation in Ireland, but no further projects have been constructed since the initial pilot. The technology remains important to Ireland's energy transition today, and plans are now in place to develop the first commercial Offshore Wind farms by 2030.

A study by Roux et al. (2022), found that sporadic government ambition and competition from cheaper Onshore Wind were the central reasons Offshore Wind never materialised in Ireland. They found that government failed to act decisively during a window of opportunity between 2007 and 2011. The fiscal and banking crises that materialised in 2011 closed the window of opportunity to support this infant industry. The jobs created from a domestic offshore wind industry may have acted as a buffer against the subsequent period of economic stagnation between 2011 and 2015. Denmark illustrates the counterfactual here, attributing its successful offshore wind industry to political commitment and early public engagement (Danish Energy Agency, 2024).

Policy Options

1. Retain our Current Strategy

Maintain our existing strategy which has delivered remarkable growth in Ireland over an extended period of time. Refocusing on domestic industry threatens to undermine our relationship with multinational companies if R&D funding is diverted from them.

It is unlikely that multinationals in Ireland will chose to relocate, given our low corporate tax rate, educated workforce, and access to European markets. The main risk of maintaining our current trajectory is a reduction in future FDI driven growth as countries such as the United

States incentivise companies to reshore investment. Diversifying our international partnerships would mitigate the impact of unilaterally initiated trade shocks.

2. Finance Domestic Manufacturing

Invest in established productivity boosting technologies by providing Non-R&D innovation grants. Bringing smaller firms to industry's technological frontier will boost productivity. This could be accommodated through the existing innovation funding envelope by reallocating R&D grants to Non-R&D activities.

Increase the capital deployed by Ireland's Strategic Investment Fund (ISIF). The €16.6 billion fund operates a double bottom line mandate to support economic activity and jobs on a commercial basis. The ISIF has accumulated returns of 3.9% per annum in the ten years since its inception, providing confidence it can handle a larger portfolio (National Treasury Management Agency, 2025). Industrial progress is rarely monocausal, further supporting a portfolio approach (Mokyr, 1992).

State-financing risks market distortion. Additionally, the fiscal cost may inflate if returns disappoint. Crowding-in private capital through co-investments mitigates the risk of market distortion, and the Strategic Investment Fund has a successful track-record of this (Ireland Strategic Investment Fund, 2024). Advertisement of success stories like Stripe will encourage further private investment. Expansion of the fund will also facilitate portfolio diversification, mitigating investment risk.

Establish a government export credit agency to boost domestic industry's access to international markets. Unlike many leading exporters, Ireland doesn't have an export credit agency (OECD, 2024). The country withdrew its scheme in 1998, after an extended period of losses and corruption controversies (O'Brien, 2024; Oireachtas, 1991). Reestablishing a government credit agency with clear limits and accountability will bring down export costs and capitalise on our strong diplomatic relations. Opening access to global markets will expose our indigenous industry to wider competition, driving innovation. Oppositional pushback through assertions of technocracy is a key risk here given previous controversy.

3. Innovative Public Sector Industry

Increase ring-fenced public sector utilities R&D funding. Public Sector Utilities deliver the foundational infrastructure needed to grow industry in Ireland. Delivering on our existing programme of investment will require new modes of delivery and new technologies, creating a definitive need for R&D funding. Further to this, expanding R&D funding will allow us to identify emerging opportunities early, capturing early-mover advantage in the spirit of the Global Crossing Deal.

Uncertainty poses a risk here. Our weak track-record of public sector R&D spending provides limited examples of innovation. The Global Crossing Deal must be advertised to illustrate the potential of innovative public sector industry.

4. Upskill Labour

Add entrepreneurial training to Ireland's second-level education curriculum. Emboldening our highly-skilled workforce to create start-ups will generate new innovative industry. Create regional innovation centres near university campuses to increase collaboration. The strategy of backing smaller domestic innovators will encourage the process of creative destruction underpinning the Schumpeterian growth model. The benefits of this strategy will take time to materialise, creating political risk. Monitoring start-up rates, particularly in rural areas, will mitigate this risk.

Replicate the University of Limerick's 'Immersive Software Engineering' degree, targeting further industry sectors. Created in collaboration with the founders of Stripe, the course prepares future industry leaders through professional residences. Additionally, the course partners with Enterprise Ireland to capitalise high-potential start-ups (University of Limerick, 2026).

Attract foreign talent by reforming the Critical Skills Employment Permit. Bloom et al. (2019) found that skilled immigration has a high impact on innovation. The current framework is limited by its focus on the Euro Economic Area and high salary thresholds that preclude early-career talent. Hardening oppositional resistance to immigration threatens the political feasibility of this approach, and consideration of framing will be critical.

Recommended Policy

Foreign Direct Investment must remain central to our industrial strategy and political economy prohibits a major reorientation. It is recommended to augment the existing strategy to include elements of the alternatives. Recent budget surpluses provide the headroom to strategically increase funding to domestic industry without damaging international partnerships. The package of recommendations must be framed as a vote of confidence in the Irish workforce to garner support.

Option 2, Finance Domestic Innovation, is recommended as a cost-efficient method of strengthening domestic innovation. Expansion of Ireland's Strategic Investment Fund is likely to involve low fiscal cost given its profitability and may generate a positive return to the exchequer. Reallocating innovation expenditure to non-R&D activities will increase manufacturing productivity at low-cost. It is recommended to focus investment on the domestic ancillary enterprises supporting pharmaceutical, food, electronics, and traditional manufacturing industries. Generating public support for an Export Credit Agency is a concern, and it is recommended to defer this option until further scoping work is complete.

Elements of Option 3, Upskilling Labour, are recommended. Human capital is fundamental to long term industrial strategy, and introducing entrepreneurial training into second-level education is an investment in the future workforce. Increasing access to venture capital for high-potential university startups is also recommended. The success of the Immersive Software Engineering degree provides confidence here. Profitable exit from venture capital investments often takes several years, so the fiscal cost of this policy option is likely to be high in the short-run. It is therefore recommended that this investment forms the headline of the updated industrial strategy, embracing our commitment to Irish start-ups. The optics of increasing skilled immigration is challenging in the context of our housing crisis, and for this reason it is recommended to focus on domestic upskilling.

Finally, additional financing must be dedicated to public sector R&D utilities. Without innovation, our utilities are unlikely to deliver on the government's ambitious programme of capital expenditure. This recommendation is likely to have a moderate fiscal cost and is justifiable as a small fraction of the wider programme of infrastructure spending.

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